

ECON7110 Analysis of a Firm

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Abstract

The report analyzes Apple Inc.'s operations in the United States smartphone market based on the concepts and tools of microeconomic theory. The market is defined narrowly as the smartphone market for U.S. consumers. The report is focused on the analysis of Apple's market structure, competitive environment, cost structure, price discrimination strategies, consumers' preferences, price elasticity, advertising, industry impact and general equilibrium effects in the market. Apple has a dominant position in the market. There are few competitors in the market. The market has high entry barriers. The U.S. Department of Justice (2024) sued Apple for monopolizing the U.S. smartphone markets in 2024. Apple's cost structure depends on different partners around the world. There are economies of scale and scope because of its hardware and software ecosystem. The firm uses pricing strategies based on segmentation. Consumer preferences show strong brand loyalty. The price elasticity is relatively low in the performance smartphones market. The firm runs advertising across multiple platforms. It also has its own advertising platform. Apple has impacts on related hardware and digital industries. The firm's decisions have general equilibrium effects on many related industries.

Introduction

The report is the analysis of Apple's operations in the U.S. smartphone market based on microeconomic theory. The report narrowly defined the market as the smartphone market for consumers in the U.S. rather than the global smartphone market. Apple's line of smartphones is iPhone based on the iOS operating system (Apple Inc., 2025). The U.S. market is large and important because of its position in the global economic environment. Apple has monopoly power in the market. Apple's market share in the U.S. is larger than its market share in the global market. It has a dominant position in the U.S. performance smartphones market. The regulatory authorities regulate this market. The U.S. Department of Justice (2024) sued Apple for monopolizing the U.S. smartphone markets in 2024. Apple has its own hardware and software ecosystem. The report is focused on Apple's smartphone devices rather than its other industries such as tablets, computers and digital services. Focusing on the single market that Apple operates in can help apply the concepts and tools of microeconomic theory. Apple's cost structure depends on different suppliers, manufacturers and assemblers around the world. The company's advertising services include many platforms and its own advertising platform. Consumer preferences show strong brand loyalty. The firm has strong impacts on the market and related industries. The report used microeconomic concepts and tools to analyze Apple's market structure, competitive environment, cost structure, price discrimination

strategies, consumers preferences, price elasticity, advertising, industry impact and general equilibrium effects in the market.

Market

Apple is one of the main firms in the U.S. smartphone market. It has market power in the market. According to Counterpoint (2025), Apple's market share was 57% in the U.S. smartphone market in the first quarter of 2025. Apple had a market share of over 50% in the market in 2024. Samsung had the second largest market share in the market. Samsung's market share was 25% in the market in the first quarter of 2025. Samsung had a market share of over 20% in the market in 2024. Other firms such as Lenovo, Google had small market shares in the market. Apple and Samsung had more than 70% of the market share. Apple and Samsung are the main firms in the market. The number of competitors is limited in the market. The U.S. Department of Justice (2024) stated Apple had monopoly power in the U.S. smartphone and performance smartphones market. The market is dominated by Apple. The U.S. smartphone market is an oligopoly. There are high barriers to entry in the market. Consumers' switching costs are high because of Apple's hardware and software ecosystem. New entrants face high costs from suppliers, manufacturers and assemblers. But Apple faces strong competition in the global smartphone market. Some firms had similar market shares in the global market. According to International Data Corporation (IDC) (2025), Apple's market share was 15.7% in the global smartphone market in the second quarter of 2025. Apple had a market share of 15.6% in the global smartphone market in 2024. Xiaomi had a market share of about 14.5% in the global smartphone market in 2024 and 2025. Apple's market share in the U.S. is larger than its market share in the global market. Apple has a dominant position in the U.S. smartphone market. The U.S. smartphone market is an oligopoly with high barriers to entry.

Competition

The U.S. smartphone market is an oligopoly. Apple had more than 50% of the market share. Apple is one of the main firms in the market. The number of competitors is limited in the market. Apple has a dominant position in the U.S. smartphone market. The market is regulated by competition authorities. Apple has been reported for anti-competitive behaviour in the U.S. The U.S. Department of Justice (2024) stated Apple had monopoly power in the U.S. smartphone and performance smartphones market. The U.S. Department of Justice sued Apple for monopolizing the U.S. smartphone markets in 2024. The case aimed to free the U.S. smartphone market from Apple's anticompetitive conduct and restore competition to reduce smartphone prices and

developers' costs. The Justice Department (2024) noted Apple's anticompetitive conduct made it harder for U.S. consumers to switch smartphones, restricted innovation for digital services and increased costs on developers and consumers. Innovative technologies, applications would influence Apple's dominant position in the market. These would reduce demand for iPhone and make it easier for consumers to switch to other brand's smartphones. Apple didn't decrease smartphone prices for consumers and increase developers' revenue to respond to competitive threats. Apple implemented some rules and restrictions in its App Store user and developer agreements to face competitive pressures. Apple's anticompetitive conduct prevented the development of new cloud service applications, third-party digital wallets and new messaging applications. Its anti-competitive behaviour also affected other related industries because of its hardware platform and software ecosystem (U.S. Department of Justice, 2024).

Cost structure

The cost structure of Apple includes fixed costs and variable costs. Apple's cost structure depends on different suppliers, manufacturers and assemblers around the world. According to Apple Inc. (2025), most of the key components were from multiple sources. But these components were affected by supply shortage and international trade restrictions. Apple also uses some custom components for new products. These custom components were from only one source. The status of component suppliers would affect Apple's costs and operations. Apple's manufacturing partners are located in Asia. Many components were supplied from partners and facilities located in the U.S., Europe and Asia. The assembly of hardware products were dependent on partners in Asia. Outsourcing partners could help reduce operating costs (Apple Inc., 2025). Apple's products gross margin percentage was over 36%. Apple (2025) stated changes to the firm's supply chain would increase costs and risks. There are economies of scale and scope because of its hardware and software ecosystem. Apple continually introduces new products, new technologies and new services to remain competitive. Apple designs and develops all products, including hardware, operating system and related digital services (Apple Inc., 2025). Apple has the ability to bundle hardware and digital services. The U.S. smartphone market is dominated by Apple. The firm could reduce average fixed costs because fixed costs were spread over a large number of products. The cost structure of Apple helped the firm remain competitive in the market.

Pricing

Apple uses pricing strategies based on segmentation. Apple provides multiple iPhone

models at different price levels such as standard models, pro models and se models. These different models are designed to meet different consumers' performance requirements. These models also provide different storage options for consumers. Consumers can choose different price levels models based on their budget and willingness to pay. Apple provides trade in services to encourage consumers to upgrade their devices. Consumers can get credit based on their old devices' models and conditions. Apple also provides carrier deals in the U.S. smartphone market (Apple Inc., n.d.). Apple would reduce some old models' prices after the launch of new models. The firm's smartphone price list does not distinguish different consumer groups. Apple uses pricing strategies based on segmentation. Consumers can choose different products based on their requirements.

Consumer preferences

In the U.S. smartphone market, consumer preferences are affected by many factors such as brand loyalty, ecosystem, innovative features and switching costs. Apple designs and develops all products, including hardware, operating system and related digital services (Apple Inc., 2025). Apple develops its own music application, television application, gaming application, news application and book application. Apple provides free trials of these digital services to new users. Apple also offers cloud services and payment services. Apple has the ability to bundle hardware and digital services. Apple builds an ecosystem based on its different types of hardware and software. Consumers' switching costs are high because of Apple's hardware and software ecosystem. Apple had more than 50% of the market share. It has a dominant position in the market. Consumers show strong brand loyalty and dependence on its ecosystem. These consumers' preferences increased Apple's market power.

Price elasticity

The price elasticity of this good is relatively low in the U.S. smartphone market. Apple could increase their smartphones' prices without reducing its market share. Apple has monopoly power in the U.S. smartphone market. The company had more than 50% of the market share. It has a dominant position in the market. Consumers are relatively insensitive to the prices. Consumers are influenced by many factors such as brand, ecosystem, features and switching costs. Relative to general goods, smartphones incorporate the ecosystem and many related digital services. Consumers' switching costs are high because of Apple's hardware and software ecosystem. If the consumers face increased products' price, they may delay their upgrade plan rather than switch to other brands' products. The price elasticity of this

good is relatively low compared to other general goods.

Advertising

Apple invests heavily in advertising. The firm uses various forms of advertising. Apple's advertising services include third-party platforms and its own advertising platforms (Apple Inc., 2025). Apple places advertisements in many channels such as television advertisement, online video, social media and outdoor billboards. Apple also advertises through their product launch events. Apple invests in their stores to promote the retail displays and services. The contents of Apple's advertisements focus on design, lifestyle, ecosystem, security and privacy. Apple's advertisements' forms combine products advertising and platform advertising. The contents of its advertisements include the corporation between its devices and digital services. Apple's advertising also depends on their retail stores and in-store services. The advertising is an investment that supports brand loyalty and helps the firm remain competitive. Apple's advertising promotes its brand image, products, ecosystem and services.

Integration and equilibrium effects

Apple's smartphone business is integrated with other related industries such as telecommunications, software, digital services, accessories, supply chains and global trade. The company's decisions have general equilibrium effects. Apple's smartphones did not support physical SIM cards in the U.S. market. These products only support digital SIM cards in the U.S. market. But its smartphones support both physical SIM cards and digital SIM cards in the global market. Apple also collaborates with carriers to provide carrier deals in the U.S. smartphone market (Apple Inc., n.d.). There are close connections between Apple's smartphones and telecommunication industries. Apple (2025) noted the performance of third-party software applications and services would affect consumer demand for its hardware products. Apple offers cloud services and payment services. Its payment services provide credit card services and digital payment services in the U.S. market. The cloud services help users save and synchronize their contents across different devices (Apple Inc., 2025). Apple builds its own hardware and software ecosystem. The accessories such as smartwatches and wireless headphones could influence the user experiences. Apple's large market share in the U.S. smartphone market could increase demand for many components. The increased demand would bring benefits to these suppliers around the world. The performance of Apple would influence the performance of its partners. Apple has a dominant position in the U.S. smartphone market. Apple's hardware and software ecosystem could increase consumers' switching costs in the

market. High switching costs would reduce consumer welfare. Apple's decisions can affect consumer surplus, competition and related industries.

Conclusion

The report is the analysis of Apple's operations in the U.S. smartphone market based on microeconomic theory. Apple has a dominant position in the market. It had more than 50% of the market share. The U.S. smartphone market is an oligopoly with high barriers to entry. The number of competitors is limited in the market. The U.S. Department of Justice (2024) stated Apple had monopoly power in the U.S. smartphone market. The U.S. Department of Justice sued Apple for monopolizing the U.S. smartphone markets in 2024. The cost structure of Apple includes fixed costs and variable costs. Apple's cost structure depends on different suppliers, manufacturers and assemblers around the world. Apple uses pricing strategies based on segmentation. Consumers can choose different products based on their requirements. Consumers show strong brand loyalty and dependence on Apple's ecosystem. The price elasticity of this good is relatively low compared to other general goods. Apple invests heavily in advertising. Apple's advertising promotes its brand image, products, ecosystem and services. Apple's smartphone business is integrated with other related industries. Its decisions have general equilibrium effects. Apple's decisions can affect consumer surplus, competition and related industries. Apple in the U.S. smartphone market provides a good case for analysis based on microeconomic theory.

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